

Oleuel
Unemployment!



Zawalc
mushtaq

Unemployment

It refers to a situation which occurs when people are able and willing to work, but unable to find employment.

$$\text{Unemployment rate (\%)} = \frac{\text{Unemployed}}{\text{Labour force}} \times 100$$

The labour force of a country refers to all the people who are employed or who are actively looking for work. It is therefore consists of both the employed and the unemployed in an economy, that is, it is the number of people in an economy who are available for work.

The participation rate refers to the proportion of population that is employed or officially registered as unemployed.

Size of a country's labour force depends on number of factors:-

- * The total size of a country's population
- * The birth rate
- * The death rate

- * The school leaving age
- * The number of people who stay in full time education after leaving school
- * The retirement age
- * The availability and value of transfer payments to those who do not have a job
- * The availability and cost of child care
- * The attitudes in a country to women working
- * The economic state of a country

Causes of Unemployment

Frictional
Unemployment



Voluntary

Search

Casual

Seasonal

Structural
Unemployment



Regional

Technological

International

Cyclical
Unemployment



Unemployment that
arises due to a
lack of aggregate
demand

Frictional unemployment: It is unemployment that arises when workers are between jobs.

Voluntary unemployment, unemployment resulting from the unemployed choosing not to accept jobs at the going wage rate. This form of frictional unemployment may be influenced by how the level of unemployment benefits compares to low wages.

Search unemployment, unemployment that exists when people take time looking for jobs they are willing to accept. The provision of more and better quality information may reduce search unemployment.

Casual unemployment, unemployment that occurs when people have left one short term job and before they take up another short term job. Example, actors, construction workers etc.

Seasonal unemployment, unemployment arising at particular times of the year when demand for the product falls, e.g. the tourism, building and farming industries.

Structural unemployment: It arises due to changes in the structure of the economy. Over time, the pattern of demand and supply changes. Demand for some products decreases while demand for other products increases. Some industries expand and some industries

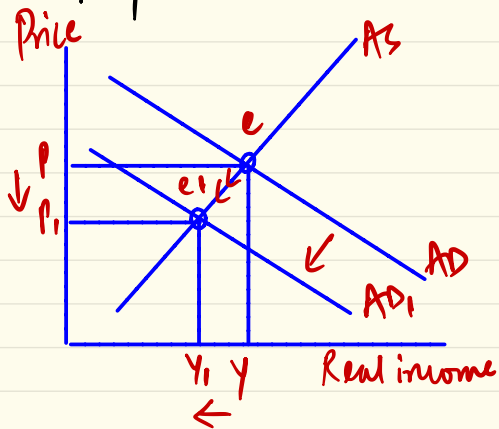
Contrast: Methods of production change, often driven by advances in technology. During this time, there may be a mismatch between job vacancies and the skills, qualifications, experience and geographical location of those who have lost their jobs. If workers cannot move from one industry to another industry, due to lack of geographical or occupational immobility, they may stay structurally unemployed for sometime.

Regional unemployment: Declining industries may be concentrated in a particular area or areas of the country. For instance, a decrease in demand for gold could result in a decline in the South African gold mining industry and cause workers in the gold mining areas, to lose their jobs.

Technological unemployment: In this case, people are out of work due to the introduction of labour saving techniques. For e.g. the development of drones and robots delivering shopping is resulting in some delivery drivers losing their jobs.

International unemployment: It occurs when workers lose their jobs because demand switches from domestic industries to more competitive foreign industries. For instance, the number of steel workers in UK has fallen significantly over the past 40 years as the UK steel industry has declined. In contrast, during this period, the Chinese steel industry has expanded, creating more jobs.

Cyclical Unemployment: Also known as demand deficient unemployment arises due to a fall in aggregate demand. This affects the whole economy, with job losses occurring across a range of industries. Diagram shows the labour market initially in equilibrium at a wage rate of 'w'. Then as a result of a fall in aggregate demand, firms reduce output and aggregate demand for labour shifts to AD_1 . If workers resist wage cuts, demand deficient unemployment XQ will exist.



Even if wage rate falls, this type of unemployment may persist. This is because a cut in wages would reduce demand for goods and services as people would cause firms to reduce both their output further and make workers redundant (lose their jobs).

Costs of Unemployment:

- * The government loses tax revenues, since the unemployed pay no income tax and given that the unemployed spend less, they pay less indirect tax (sales tax). The government also incurs administrative costs associated with the running of benefits offices. It may also have to spend extra on health care, the social service and the police.
- * Firms lose the profits that could have been made, had there been full employment
- * Other workers lose additional wages they could have earned from higher national output
- * The longer people remain unemployed, the more de-skilled they tend to become, thereby reducing potential as well as actual income
- * Finally, there is some evidence that higher unemployment leads to increased crime and vandalism. This obviously imposes a cost on the sufferers.

Benefits: The cost of unemployment may sometimes be offset by benefits of unemployment. If the workers voluntarily quit their job to look for a better one, then they must realize that benefits of a better job more than compensate their temporary loss of income. From the nation's point of view, a workforce that is prepared to quit jobs and spend a short time unemployed will be a more adaptable, more mobile workforce that is responsive to changing economic circumstances. Such a workforce will lead to a greater allocative efficiency in the short run and more rapid economic growth in the long run.

Questions

- Q1 Explain the difference between Unemployment, labour force and participation rate? 6
- Q2 Define frictional unemployment and its types? 6
- Q3 Define structural unemployment and its types? 8
- Q4 Explain cyclical / demand deficient unemployment? 4
- Q5 Discuss the cost and benefits of unemployment? 8